SyCip Company had the following items in its "Cash and cash equivalents" account as of December 31, 2022:

Cash on hand	P125,000
Bank time deposit (acquired 12/30/2022; due in 2/28/2023)	150,000
Petty cash fund – including P2,550 unreplenished vouchers dated December 27-30, 2022; and P1,200 dated January 4, 2023.	10,000
Cash in foreign bank – unrestricted ($5,000; average rate – P50; closing rate – P52)	250,000
Cash restricted for additions to plant (to be disbursed in 2025)	1,200,000
Cash in bank – to be used for payment of 2023 dividends and taxes	1,380,000

1. How much should be reported as cash and cash equivalents as of December 31, 2022?
a. 1,875,450
b. 1,921,250
c. 1,922,450
d. 1,944,250

Gorres Company provided the following data for the purpose of reconciling the cash balance per book:

Balance per Book	P220,000
Outstanding checks (including certified check of P20,000)	50,000
Deposit in transit	90,000
December NSF checks (of which P10,000 had been re-deposited and cleared on December 27)	30,000
Erroneous credit to Gorres's account, representing proceeds of loan granted to another company	60,000
Proceeds of note collected by bank for Gorres, net of service charge of P4,000	150,000
Erroneous bank charge	3,000
A check of P5,000 in payment of account was recorded by Gorres as	50,000

2. How much is the Cash in Bank balance as shown in the bank statement on December 31?
a. 382,000
b. 385,000
c. 392,000
d. 395,000

Velayo Company had the following transactions pertaining to its accounts receivable for the year 2022:

Credit sales	5,700,000
Cash sales	3,150,000
Collection from credit customers taking advantage of cash discount of 4%	4,536,000
Accounts ascertained worthless	75,000
Credit memo issued to credit customers	375,000
Cash refund for sales returns from cash sales	30,000
Recovery of accounts previously written off not included in total collections	120,000

Velayo Company's beginning accounts receivable amounted to P1,425,000 and its beginning allowance for uncollectible accounts amounted to P135,000. For 2022, the company estimates its uncollectible accounts as 15% of its outstanding accounts receivable.

3. How much is the bad debts expense for the year 2022?
a. 112,500
b. 292,500
c. 130,500
d. 472,500

On August 31, 2022, Price Company sold goods to Water Company. Water Company signed a non-interest bearing note requiring payment of P80,000 annually for five years. The first payment was made on August 31, 2022. The prevailing rate of interest for this type of note at the date of issuance was 12%. Information on present value factors is as follows:

Periods	Present value of 1 at 10%	PV of Ordinary annuity of 1 at 10%
4	0.636	3.037
5	0.567	3.605

4. What is the amount of interest income for the year 2022?
a. 9,719
b. 12,918
c. 11,536
d. 14,736

The inventory on hand at December 31, 2019 for House Company is valued as at a cost of P500,000. The following items were not included in this inventory amount:

- Purchased goods shipped FOB destination costing P30,000. The goods were received on December 30, 2019.
- Purchased goods in transit, terms FOB shipping point. Invoice price- P48,000; freight costs of P3,000.
- Goods out on consignment to Punong Company, sales price, P 35,000.
- Purchased goods shipped FOB Buyer still in transit. The invoice price is P47,500 including freight of P500.
- Inventory purchased and received with a buyback agreement costing P100,000.
- Inventory purchased and received, Free Alongside, costing P 245,000. Delivery cost alongside the Vessel is P3,000 while cost of shipment is P5,000.
- Mark-up based on sales is 20%. It was noted that 30% of the consigned goods were sold as of December 31, 2019.

5. How much is the correct cost of inventory to be reported in House's statement of financial position on December 31, 2019?

a. 898,100 c. 853,600
b. 839,400 d. 850,600

The records of Bayan Company revealed the following information on Sept. 30, 2022:

	Cost	**Retail**
Inventory, January 1, 2022	412,400	620,000
Purchases,	2,614,100	4,275,500
Freight in	40,000	
Sales		3,200,000
Purchase returns	10,000	28,000
Sales allowance		25,500
Purchase allowance	8,000	
Sales returns		48,500
Sales discounts		22,500
Purchase discounts	6,200	
Abnormal shrinkages	45,000	50,000
Normal shoplifting losses		150,000
Discounts granted to employees		15,500
Departmental transfer in	25,700	51,600
Departmental transfer out	31,500	68,000
Mark-ups		146,900
Mark-downs		116,000
Mark-up cancellation		25,000
Markdown-cancellation		18,000

6. What is the estimated cost of September 30, 2022 inventory using the <u>average</u> approach?

a. 1,508,000 c. 934,960
b. 1,037,570 d. 964,720

A new machine was acquired on July 31, 2022 by Araullo Company with the following considerations:

Down-payment	1,000,000
Total par value of 5,000 ordinary shares issued (FV is P140)	600,000
Notes payable in three equal annual installment every July 31, starting 2023 (3 years noninterest bearing; effective rate on this date 9%)	900,000
Estimated dismantling after five (5) year life of the machine (at 9% effective rate)	100,000

7. What is the initial cost of the machine on July 31, 2022?

a. P2,459,958 c. P2,582,291
b. P2,524,380 d. P2,611,388

8. Assuming the machine is depreciated using 1.5 declining balance and estimated to have P100,000 of residual value. How much is the depreciation of the machine in 2023?

a. P757,314 c. P315,548
b. P662,650 d. P300,271

Manabat Company purchased an equipment on January 1, 2020 for P13,000,000. This equipment had 10 years useful life. In 2021, due to obsolescence, Manabat recognized an impairment loss of P2,600,000. On December 31, 2022, Manabat determined that the fair value of the equipment had increased to P9,750,000.

9. What amount of gain on reversal of impairment shall Manabat recognize in 2022?

a. 2,925,000 c. 650,000
b. 2,275,000 d. 325,000

San Agustin Corporation purchased a patent for P135,000 on September 1, 2020. It had a useful life of 10 years. On January 1, 2022, the company spent P33,000 to successfully defend the patent in a lawsuit. San Agustin Corporation estimated that as of that date, the remaining useful life is 5 years.

10. What amount should be reported for patent amortization expense for 2022?

a. 30,900
b. 28,200
c. 30,000
d. 23,400

On January 31, 2022, Klynveld signed an agreement to operate as franchisee of Peat, Inc. for an initial franchise of P780,000. Of this amount, P300,000 was paid when the agreement was signed and the balance was payable in four annual payments of P120,000 each, beginning January 31, 2023. The agreement provides that the down payment is not refundable and no future services are required of the franchisor. The implicit rate for loan of this type is 12%. The agreement also provides the 1.5% of the revenue from the franchise must be paid to the franchisor annually. Klynveld's revenue from the franchise in 2022 was P9,500,000. Klynveld estimates the useful life of the franchise to be ten years. At the end of 2022, the franchise recoverable amount was P610,000.

11. What is the carrying value of the franchise as of December 31, 2022?

a. P603,571
b. P598,034
c. P604,381
d. P599,384

In 2022, Marwick Company held the following investments in ordinary shares:

- 25,000 shares of Goerdeler Company's 100,000 outstanding shares. Marwick's level of ownership gives it the ability to exercise significant influence over the financial and operating policies of Goerdeler.
- 60,000 shares Deloitte Company's 350,000 outstanding shares designated as at fair value through profit or loss.

During 2022, Marwick received the following distributions from its ordinary share investments.

- November 6 – P30,000 cash dividend from Goerdeler Company.
- November 11 – P15,000 cash dividend from Deloitte Company.
- December 26 – 3% ordinary share bonus issue from Goerdeler Company.

Market values per share at December 31, 2022 are: Goerdeler - P15; Deloitte – P8.

12. What amount of dividend revenue should Marwick Company report for 2022?

a. 56,250
b. 45,000
c. 30,000
d. 15,000

On December 31, 2019, Delgado Company appropriately reported a P100,000 unrealized loss. There was no change during 2020 in the composition of the portfolio of non-trading equity securities held at fair value through other comprehensive income.

Security	Cost	MV – December 31, 2020
A	1,200,000	1,300,000
B	900,000	500,000
C	1,600,000	1,500,000
TOTAL	**3,700,000**	**3,300,000**

13. What cumulative amount of unrealized gain/loss on these securities should be reported in the statement of financial position on December 31, 2020?

a. 100,000
b. 200,000
c. 400,000
d. 0

On July 1, 2022, Amper Company acquired a 25% interest in the outstanding shares of Mazars Company at a total cost of P1,750,000. The underlying equity of the shares acquired by Amper was P1,500,000. The difference was due to the following:

I. Land with current fair value of P750,000 more than its carrying amount.
II. Depreciable plant assets with current fair value of P150,000 more than the carrying amount.
III. Inventories which are undervalued by P20,000.

All other identifiable assets of Mazars Company have fair values equivalent to their book values. The depreciable plant assets have remaining useful lives of 10 years from the date of acquisition of the investment. All of the inventories have been sold as of December 31, 2022.

Amper received P100,000 dividends from Mazars in 2022. Mazars reported P1,350,000 profit during the year ended December 31, 2022. Interim reports from Mazars revealed that it earned P650,000 during the first two quarters

of 2022. There are no differences in accounting policies between the two companies, nor do differences in reporting dates exist. Assume that there is no indication of impairment in the shares as of December 31, 2022.

14. How much was the income from associate reported in Amper's profit and loss for the year ended December 31, 2022?

a. 161,875
b. 166,250
c. 168,125
d. 175,000

On January 1, 2022, Ernst Corporation purchased 3-year, 10%, 5,000 of P1,000 face value bonds for P4,600,000. In relation to this acquisition, Ernst incurred P160,000 broker's commission. As a result, the effective rate on the bond was 12%.

Meanwhile, Ernst determined the following fair values at each yearend:

December 31, 2022	102
December 31, 2023	105

15. How much is the unrealized gain or loss to be reported in its 2022 Profit or Loss Statement assuming the investment is FVPL?

a. 0
b. 500,000
c. 268,800
d. 340,000

On January 1, 2019, Young Company acquired a 5-year, 10%, P1,000,000 face value bonds at 92. The company paid broker's fees amounting to P118,896. As a result, yield rate on the bond was 9%. Interests are collectible annually every January 1. The bonds were selling at 120, 102, 98 as of December 31, 2019, December 31, 2020 and December 31, 2021, respectively. Young company classified the investment as **Fair Value through Other Comprehensive Income.**

16. How much is the unrealized gain or loss that should be reported as of December 31, 2020?

a. 5,312 UL
b. 5,312 UG
c. 172,915 UL
d. 162,291 UL

Valix Company acquired an investment property costing P500,000 on January 1, 2021. The property is being leased out under operating lease and the lessee pays P50,000 on a semi-annual basis. Valix Company depreciates its properties using the straight-line method over a 10-year useful life. The fair value of the building at the end of 2021 and 2022 were P600,000 and P 500,000, respectively.

17. How much is the total increase in profit or loss for the year 2021 assuming the company is using the fair value model?

a. 100,000
b. 150,000
c. 200,000
d. 250,000

18. How much is the carrying value of the investment properties on December 31, 2022 assuming the company is using the cost model?

a. 450,000
b. 600,000
c. 400,000
d. 500,000

The following information pertains to the living plant and agricultural produce of Uberita Company. On January 1, 2020, the cost of the living plant was P20,000,000 with an estimated useful life of 10 years. The company is using the straight-line method of depreciation. As of December 31, 2020, Uberita Company determines the following:

Fair value of the fruits before the harvest on December 31, 2020	P5,000,000
Estimated cost to sell of the fruit	100,000
Estimated cost to sell of the living plant	500,000

With the assistance of valuation experts, Uberita Company determines that the fair value of the living plant including the fruit as of December 31, 2020 is P26,000,000.

19. How much is the carrying value of the living plant on December 31, 2020 under PAS 16?

a. 18,000,000
b. 20,000,000
c. 20,500,000
d. 25,400,000

On January 1, 2022, De Jesus Company has a building with a cost of P4,000,000 and accumulated depreciation of P3,100,000. The company commits to a plan to sell the building by January 1, 2023. On January 1, 2022, the building has an estimated selling price of P800,000 and it is estimated that the selling costs associated with the disposal of the building will be P120,000. On December 31, 2022, the estimated selling price of the building has increased to P1,200,000 and the estimated selling costs remain at P120,000.

20. How much is the total net effect in profit or loss for the year 2022 in relation to the noncurrent asset held for sale?

a. 0
b. 220,000 increase
c. 220,000 decrease
d. 400,000 increase

The following information was provided to you by Millan Corporation with regard to its currently maturing obligations as of December 31, 2022:

- On December 31, 2022, Millan had P1,000,000 short-term notes payable due February 14, 2023. On January 15, 2023, the company issued bonds with a face value of P900,000. The proceeds from the issuance of bond plus additional cash held by the company on December 31, 2022 were used to liquidate the P1,000,000 of short-term notes.

- Another P500,000 notes payable is due on March 15, 2023. On December 31, 2022, Millan signed an agreement to borrow up to P 500,000 to refinance the notes payable on a long-term basis. The financing agreement called for borrowings not to exceed 80 percent of the value of collateral Millan was providing. At the date of issue of the December 31, 2022 financial statements, the value of collateral was P450,000 and was not expected to fall below this amount during 2023.

- The financial statements of Millan were authorized to be issued on March 31, 2023.

21. How much liabilities are long term as of December 31, 2022?

a. 360,000 b. 500,000 c. 1,140,000 d. 1,360,000

On December 25, 2022, an employee filed a P3,000,000 lawsuit against Ballada Company for damages suffered when one of Ballada's equipment malfunctioned in August of 2022. The legal counsel of the company believes that it is probable that Ballada will pay the damages ranging between P500,000 to 1,000,000 but P820,000 is considered to be the best estimate of the obligation. On March 31, 2023, the employee has offered to settle the lawsuit out of court for P925,000 and the company accepted the offer and settled the amount. The financial statements were authorized to be issued on March 1, 2023.

22. How much is the provision that should be recognized as of December 31, 2022?

a. 820,000 b. 925,000 c. 750,000 d. 1,000,000

On October 1, 2022, Peralta Inc. purchased an equipment which has no known market value. Peralta Inc. paid a down payment of P200,000 and signed a 2-year non-interest-bearing note for 500,000. The prevailing interest rate for similar note is 10%.

23. The entry to record the issuance of the note on October 1, 2022 is

a. Debit Equipment for P700,000, Credit Note payable for P500,000 and Credit Cash for P200,000.
b. Debit Equipment for P613,200, Credit Note payable for P413,200 and Credit Cash for P200,000.
c. Debit Equipment for P613,200, Debit Discount on Note payable for 86,800, Credit Note payable for P500,000 and Credit Cash for P200,000.
d. Debit Equipment for P700,000, Credit Discount on Note payable for 86,800, Credit Note payable for P413,200 and Credit Cash for P200,000.

On April 1, 2022, Robles Corp. issued a 3-year noninterest bearing note with face value of 3,000,000 in exchange for an equipment. The note provides that Robles Corp. shall pay equal annual installment of P1,000,000 every March 31 beginning March 31, 2023. The prevailing rate of notes of this type of note is 12%.

24. What amount of interest expense shall be reported in the statement of profit or loss for the year ended December 31, 2022?

a. 288,216
b. 216,162
c. 192,144
d. 0

On January 1, 2021, Paguio Co. issued for P4,695,000 a P5,000,000 bonds payable which will mature after ten years. The bonds pay 9% annual interest every December 31 and were sold to yield 10%.

25. How much is the balance of unamortized discount on bonds payable as of December 31, 2022?

a. P311,195
b. P285,500
c. P264,050
d. P256,950

On January 1, 2019, Empleo Inc. issued 2,000 of its 5-year, 11%, P1,000 face value bonds dated January 1 with an effective annual interest rate of 9%. Interest is payable annually every December 31. Empleo Inc. uses the effective interest method of amortization. On December 31, 2020, the bonds were retired by Empleo Inc. for P1,980,000.

The PV Factors are:
PV of 1 at 9% for 5 period – 0.6499;

PV of ordinary annuity of 1 at 9% for 5 periods – 3.8897.

26. What is the gain or loss on early retirement of bonds on December 31, 2020?

a. 121,190 gain taken to profit or loss
b. 121,190 loss taken to profit or loss
c. 121,190 gain taken to OCI
d. 121,190 loss taken to OCI

On January 1, 2022, Sule Corporation leased a new machine from Ching Company. The following data relate to the lease transaction:

Annual rental payable every Jan. 1, starting Jan. 1, 2022	P100,000
Lease term	8 years
Useful life of machine	10 years
Implicit interest rate, known by Sule	10%
Incremental borrowing rate	12%
Present value of an annuity of 1 in advance for 8 periods at 10%	5.868
Present value of an ordinary annuity for 8 periods at 10%	5.335
Present value of an ordinary annuity for 8 periods at 12%	4.968
Present value of an annuity of 1 in advance for 8 periods at 12%	5.564

The possession of the machine reverts to Ching when the lease terminates.

27. How much is the initial cost of the right-of-use machine?

a. 533,500
b. 586,800
c. 496,800
d. 556,400

28. How much is the interest expense for the year 2022?

a. 58,680
b. 53,350
c. 43,350
d. 48,680

Ocampo Company leased equipment from Valdez Inc. on July 1, 2022, for an 8-year period. Equal payments under the lease are P600,000 and are due on July 1 of each year. The first payment was made on July 1, 2022. The interest rate contemplated by Ocampo and Valdez is 10%. The carrying value of the equipment on Valdez's accounting records is P2,800,000. Residual value of P100,000 at the end of lease term is guaranteed by Ocampo. The lease is appropriately recorded as a sales-type lease.

Present value of an annuity of 1 in advance for 8 periods at 10%	5.87
Present value of an ordinary annuity of 1 for 8 periods at 10%	5.33
Present value of 1 for 8 periods at 10%	0.47

29. How much is the sales that should be recognized by Valdez Inc.?

a. 3,522,000
b. 3,569,000
c. 3,245,000
d. 3,198,000

30. How much is the cost of goods sold that should be recognized by Valdez Inc. assuming the residual value is unguaranteed?

a. 2,800,000
b. 2,753,000
c. 3,569,000
d. 3,522,000

James Co. reported pretax financial income for the current year 2021 at P3,000,000. Included in the determination of the said net income were:

Permanent differences:	
Non-deductible expenses	P100,000
Non-taxable revenues	500,000
Temporary differences:	
Unrealized gain trading securities	400,000
Impairment loss on machinery	500,000
Provision for bad debts	900,000
Excess tax depreciation over accounting depreciation	420,000

The income tax rate is 30% and is not expected to change in the future.

31. How much is the current income tax expense?

a. 954,000
c. 246,000

b. 780,000 d. 420,000

32. How much is the deferred tax liability on December 31, 2021?

a. 954,000 c. 246,000
b. 780,000 d. 420,000

On January 1, 2021, Sarmiento Company reported the fair value of plan assets at P6,700,000 and defined benefit obligation at P6,100,000. Transactions affecting the balances for the current year are as follows:

Current service cost	P1,125,000
Past service cost	325,000
Contribution to the plan	990,000
Benefits paid to retirees at scheduled date	800,000
Benefits paid to retirees at early (CV is P340,000)	300,000
Actual return on plan assets	469,000
Decrease in defined benefit obligation due to changes in actuarial assumption	135,000
Discount rate	10%

33. How much is the amount of defined benefit cost reported in its statement of comprehensive income as a component of profit or loss?

a. 1,350,000 c. 66,000
b. 1,385,000 d. 336,000

34. How much is the amount of defined benefit cost reported in its statement of comprehensive income as a component of OCI?

a. 1,350,000 c. 66,000
b. 1,385,000 d. 336,000

Salosagcol Corp. reported the following amounts in the shareholders' equity section of its December 31, 2021, balance sheet:

10% Preference shares, P10 par (100,000 shares authorized, 40,000 shares issued)	P400,000
Ordinary shares, P5 par (50,000 shares authorized, 20,000 shares issued)	100,000
Share premium	190,000
Retained Earnings	1,200,000

The following transactions occurred during 2022:

Feb. 1-Purchased 4,000 shares of its own outstanding ordinary shares for P80,000.
March 1-Ordinary shares were split 2 for 1.
April 30-Reissued 2,000 treasury ordinary shares for cash at P15 per share.
June 30-Issued 10,000 shares of preference shares at P15 per share.
August 1-Purchased 3,000 preference shares from June 30 issuance at P 12 per share.
Sept. 1-Declared a 10% stock dividend on the outstanding ordinary shares when the stock is selling for P6 per share. Issued the share dividend on September 30.
Dec. 1-Declared the annual dividend on preference shares and the P2.00 per share dividend on ordinary shares. These dividends are payable in 2023.
Dec. 31-Registered a net income for 2022 at P800,000.

Determine the adjusted balances of the following accounts on December 31, 2022:

	a	b	c	d
35.Ordinary shares	108,500	217,000	187,000	93,500
36.Total SHE	2,728,200	2,602,200	2,632,200	2,623,200

The Hermosilla Company granted 100 share options to each of its 500 employees on January 1, 2020. The option plan allows the employees to purchase a share of the entity's P100 par value ordinary share at P120 per share. On January 1, 2020, the fair value of each option is P30. The option plan requires the employees receiving the options to be in the service of the company for the next three years. Options are exercisable starting January 1, 2023 and options expire at the end of 2024. At January 1, 2020, it was estimated that 20% of the employees will leave during the next three years.

Actual and revised estimate of employees leaving the company during 2020, 2021 and 2022 are as follows:

2020: 20 employees left; revised estimate is 15% of remaining options
2021: 10 employees left; revised estimate is 10% of remaining options 2022:
18 employees left

37. How much is the compensation expense for the year 2022?

a. 846,000 b. 438,000 c. 510,000 d. 1,356,000

Lee Company reported the following on December 31, 2022:

Bonds payable- 10%	1,000,000
Ordinary share capital, P 100 par, 50,000 shares	5,000,000
Net income	1,735,000

The bonds are convertible into ordinary shares in the ratio of 10 ordinary shares for each P1,000 bond. The income tax rate is 30%.

38. What is the amount of basic earnings per share?

a. 30.08 c. 34.70
b. 30.58 d. 27.75

39. What is the amount of diluted earnings per share?

a. 30.08 c. 34.70
b. 30.58 d. 27.75

Sy Corporation's December 31, 2022 balance sheet reports the following shareholders' equity:

10% Cumulative Preference share capital, P100 par value per share, 30,000 shares issued and outstanding, liquidation value of P105	P3,000,000
Ordinary share capital, P100 par value, 60,000 shares issued	6,000,000
Share premium	500,000
Treasury Stock, (ordinary) 5,000 shares at cost	600,000
Retained Earnings	4,000,000
Subscribed ordinary share, net of P400,000 subscription receivable	1,000,000
Revaluation surplus	700,000

Preference dividends have not been paid since last year up to the end of 2022.

40. What is the book value per share on ordinary share?

a. 173.08 b. 163.04 c. 166.92 d. 157.25

Dayag Corp.'s transactions for the year ended December 31, 2022 included the following:

- Purchased real estate for P 550,000 cash
- Sold building for P 500,000
- Paid dividends of P 600,000
- Issued 500 shares of ordinary shares for P 250,000
- Purchased machinery and equipment for P 125,000 cash
- Paid P 450,000 bank loan
- Increased accounts receivable by P 100,000
- Increased accounts payable by P 200,000

41. How much is the net cash provided or (used) in investing activities for 2022?

a. 175,000 c. 675,000
b. (175,000) d. (50,000)

42. How much is the net cash provided or (used) in financing activities for 2022?

a. (200,000) c. (800,000)
b. (1,050,000) d. 800,000

On December 31, 2022, the bookkeeper of De Leon Company provided the following information:

Accounts payable, net of P500,000 debit balance in creditor's account	P 2,500,000
Deferred tax liabilities	300,000
Long-term advances to officers	500,000
Other trade payables (payable normally in 15 months)	250,000
Bonds Payable	2,000,000
Stock dividends payable	800,000
Credit balance in customers' accounts	400,000
Provision for litigation	50,000
Serial bonds, payable in semiannual installments of P1,000,000	5,000,000
Accrued interest on bonds payable	300,000

Salaries payable	600,000
Contingent liabilities	100,000
Premium on bonds payable	700,000

43. In the December 31, 2022 statement of financial position, how much current liabilities should be reported?

a. 6,350,000
b. 6,600,000
c. 6,200,000
d. 6,700,000

44. In the December 31, 2022 statement of financial position, how much non-current liabilities should be reported?

a. 6,500,000
b. 6,000,000
c. 6,250,000
d. 6,100,000

Naga has the following information for its five business segments for the year 2022:

Segment	Intersegment revenue	Segment Assets	Revenue to external customers
A	P 20,000,000	P 2,000,000	P 25,000,000
B	5,000,000	500,000	5,000,000
C	2,800,000	1,000,000	3,500,000
D	1,200,000	200,000	1,500,000
E	1,000,000	250,000	1,000,000

45. How much is the minimum amount that should be reported by the reportable segments?

a. 22,500,000
b. 27,000,000
c. 49,500,000
d. 6,600,000

46. The following statements are based on PAS 38 (Intangible Assets):

Statement I: Internally generated goodwill shall not be recognized as an asset.
Statement II: No intangible asset arising from research or research phase of an internal project shall be recognized.
Statement III: Internally generated brands, mastheads, publishing titles, customer lists and items similar in substance shall be recognized as intangible assets.

a. All of the statements are true
b. Only statement I is true
c. Only statement II is false
d. Only statement III is false

47. Which of the following is false about erroneous bank charge?

a. Cash balance per bank is understated
b. Disbursements per bank is overstated
c. It should be recorded as a debit to cash in bank account
d. It should be added to balance per bank in preparing bank reconciliation

48. The statement of financial position may include unrealized gains and losses from which type of investment securities?

a. FVPL only
b. FVOCI only
c. FVPL & FVOCI
d. FVPLOCI

49. Which of the following transactions shall be included in the statement of cash flows?

a. Acquisition of a property by means of issuing preference shares
b. Purchase of treasury shares for cash at more than par value
c. Conversion of bonds to ordinary shares
d. Acquisition of assets by means of a finance lease

50. If an entity failed to amortize the discount on its investment in bond classified at amortized cost, this may result to

a. Understatement of net income
b. Overstatement of net income
c. No effect on net income
d. Overstatement on investment account

51. The following statements are based on PFRS 5 (Non-current Assets Held for Sale and Discontinued Operations)

Statement I: An entity shall classify a non-current asset or disposal group as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use.

Statement II: An extension of the period required to complete a sale does not preclude an asset or disposal group from being classified as held for sale if the delay is caused by events or circumstances beyond the entity's control and there is sufficient evidence that the entity remains committed to its plan to sell the asset (or disposal group).

Statement III: An entity shall measure a non-current asset or disposal group classified as held for sale at the lower of its carrying value and fair value less cost to sell.

a. Only statement I is false
b. Only statement II is false
c. Only statement III is true
d. All of the statements are true

52. Which of the following is/are not subject for depreciation?

I. Land held to be used as a future plant site
II. Non-current asset classified as "held for sale"
III. Building classified as investment property under fair value model a. I only
b. I and III
c. II and III
d. I, II and III

53. Which of the following is false about the preparation of statement of comprehensive income?

a. Income from operation does not include items which are considered incidental/peripheral.
b. Income from continuing operations plus income from discontinued operation equals total profit or loss
c. Profit or loss plus other comprehensive income equals total comprehensive income
d. Other comprehensive income shall be disclosed on the face of income statement after tax

54. When an owner-occupied property is transferred to investment property at fair value, a decrease in the carrying amount of the property to its fair value at the date of transfer

a. Is recognized in profit and loss, or, for a revalued property, charged against the revaluation surplus to the extent of its credit balance
b. Is recognized in profit and loss at all times
c. Is absorbed by retained earnings
d. Is carried directly to equity

55. Tan Corporation declares and distributes a cash dividend that is a result of current earnings. How will the receipt of those dividends affect the investment account of the investor under each of the following accounting methods?

	Fair Value Method	Equity Method
a.	No Effect	Decrease
b.	Increase	Decrease
c.	No Effect	No Effect
d.	Decrease	No Effect

56. Statement 1: Trade receivables are classified as current assets if they are not to be collected within one year or within the normal operating cycle, whichever is shorter.

Statement 2: Non-trade receivables are classified as current assts if they are to be collected within one year or within the normal operating cycle, whichever is longer.

a. Both statements are true
b. Statement 1 is true while statement 2 is false
c. Both statements are false
d. Statement 1 is false while statement 2 is true

57. The minimum lease payments include all the following, except

a. Contingent rent
b. Rental payments over the lease term
c. Any amount guaranteed by the lessee.
d. Payment required to exercise an option on the part of the lessee to purchase the asset at a price which is certain to exercise by the lessee determined at inception of the lease.

58. Which of the following is not true in relation to bearer plant?

a. It is a living plant that has a remote likelihood of being sold as agricultural produce, except for incidental scrap sales
b. The bearer plant and the related agricultural produce are accounted as two separate assets
c. Plants which have a dual use or exclusive to be harvested as agricultural produce is not a bearer plant

d. Bearer plant should be measured initially at fair value less estimated cost of disposal

59. Share premium could NOT arise from

a. Issuance of non-convertible bonds
b. Receipt of donated asset from a shareholder
c. Issuance of bonds with detachable share warrants
d. Distribution of "small" bonus issue

60. Berdan Company has issued a range of share appreciation rights to employees. In accordance with IFRS 2 Sharebased payment, what type of share-based payment transaction does this represent?

a. Asset-settled share-based payment transaction
b. Equity-settled share-based payment transaction
c. Cash-settled share-based payment transaction
d. Liability-settled share-based payment transaction

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